PointsBet Holdings (: PBH.AX)

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H1 FY2027 Earnings — Analyst Brief · Released 13 Oct 2026 (ASX trading update, pre-results; full H1 FY27 report due 30 Oct 2026) · Currency AUD (A$m unless stated). Period = H1 FY27 = 1 Apr–30 Sep 2026 (new 31-March year-end adopted to align with MIXI). FY26 = 9-month transition period 1 Jul 2025–31 Mar 2026.

Muted on the day because the damage preceded the release: PBH closed ~A$0.815 on 13 Oct 2026 (-0.6% vs A$0.82 prior close; intraday low ~A$0.805), having already fallen ~9% from A$0.88 over the prior week. On 14 Oct it traded at A$0.805 (-1.2%), near the A$0.755 52-week low, YTD -8%, market cap ~A$283m (347.6m shares) — ~35% below MIXI's A$1.25 takeover price. [Secondary price feeds; see confidence note.]

THE ONE-LINE VERDICT

PointsBet pre-announced a sharp H1 FY27 miss: revenue ~A$113m (-16% YoY vs A$135m) and a normalised EBITDA loss of A$6–8m, entirely attributable to Australia, where self-imposed VIP compliance tightening has cut highest-value-cohort turnover/revenue by double digits all half and a deliberate mass-market push ran into punter-friendly AFL results and promo/product-fee dilution from the Pull 'Em product. The Canada/iGaming growth leg (FY26 revenue +13%) is intact but, at ~18% of group, is too small to carry a structurally de-rated Australian book; with cash of roughly A$23m and a 66%-owned register, the quarter re-opens the question of how long MIXI tolerates a listed, loss-making minority structure.

H1 FY27 REVENUE (GUIDED)	H1 FY27 NORMALISED EBITDA (GUIDED)	FY26 (9M) GROUP REVENUE	FY26 (9M) AUSTRALIA REVENUE	FY26 (9M) CANADA REVENUE	MARKET CAP (13 OCT CLOSE)
~A$113m	-A$6m to -A$8m	A$186.6m	A$152.0m	A$34.6m	~A$283m
-16% YoY (pcp A$135m, Apr–Sep 25)	vs -A$3.3m Jul–Dec 25 half; l-f-l pcp est. positive	-1% YoY (pcp A$188.4m)	-4% YoY; seg. EBITDA A$14.2m (-30%)	+13% YoY; iGaming net win +28%	-35% vs MIXI's A$1.25 offer (A$434m)

1 EXECUTIVE SUMMARY

- **Pre-announced miss, not a result.** On 13 Oct 2026 PointsBet (ASX: PBH; 66.43% owned by MIXI, Inc.) issued an ASX trading update guiding H1 FY27 (1 Apr–30 Sep 2026) group revenue to ~A$113m, -16% YoY vs A$135m, and normalised EBITDA to a loss of A$6–8m. Full accounts are due 30 Oct 2026; nothing below the revenue/EBITDA lines is yet disclosed.
- **Guidance change is 100% Australia.** The company states the decline is 'attributable to the Australian business'; Canada is not cited as a contributor. Two themes flagged at the 25 Aug 2026 AGM did the damage: (i) compliance-driven attrition of the highest-value client cohort, and (ii) a deliberate mass-market sports push that ran into adverse results.
- **VIP attrition is structural, not luck.** Management reports a 'sustained trend of double-digit turnover and revenue declines vs PCP throughout H1' from the highest-value cohort, attributed to 'proactive compliance actions'. At the AGM the CEO said this cohort fell only 1–2% across FY26 but went double-digit negative in the final months — i.e. the drag accelerated into FY27 and has now persisted for ~9 months.
- **Mass-market volume up, margin down.** Mass-market sports actives, turnover and structural net-win margin were all up vs PCP, but were 'eroded by negative variance in actual Net Win margin throughout the half', principally AFL results in August–September. No handle or margin figures were quantified in the update.
- **Pull 'Em is a self-inflicted margin drag.** The product (launched March 2026) was made available on every AFL game and the FIFA World Cup to recruit mass-market actives and push Same Game Multis; management concedes it lifts sports turnover but lowers net-win and gross-profit margins via higher promotional cost and higher AFL product-fee rates on Premium Bet Types.
- **The EBITDA comparator in the press is not like-for-like.** Media compare the A$6–8m loss to a A$3.3m loss 'in H1 FY26' — that figure is the six months to 31 Dec 2025 (old June-year basis). On our arithmetic the true Apr–Sep 2025 pcp was likely positive (Q4 FY25 alone contributed +A$10.0m normalised EBITDA: FY25 A$11.2m less 9M-to-Mar-25 A$1.2m), so the YoY swing is plausibly A$11–20m, not ~A$4m [estimate; Q1 FY26 standalone EBITDA not disclosed].
- **Revenue trend was already deteriorating before H1 FY27.** Derived quarterly revenue: Q4 FY25 A$73.0m, Q1 FY26 ~A$62.0m, Q2 FY26 ~A$67.3m, Q3 FY26 ~A$57.3m (-10.5% YoY). H1 FY27 at ~A$56.5m/quarter is a continuation and acceleration of the Jan–Mar 2026 run-rate, not a one-quarter shock [estimates from reported period totals].
- **FY26 (9M to 31 Mar 2026) base: flat top line, negative EBITDA.** Group revenue A$186.6m (-1%), total net win A$202.0m (-1%), gross profit A$93.6m (-6%, margin 50.2% vs 53.0%), normalised EBITDA -A$0.8m (vs +A$1.2m), statutory EBITDA -A$11.7m, statutory loss A$26.6m (LPS 7.7c vs 5.5c for 12-month FY25). Yogonet reports a A$19.2m loss figure we could not reconcile — we quote the A$26.6m carried in the annual report commentary.
- **Australia FY26: tax take now ~48% of net win.** Turnover A$1,690.7m (-1%), gross-win margin flat at 13.3%, net-win margin 9.9% (-20bp), net win A$167.3m (-4%), revenue A$152.0m (-4%), gross profit A$77.0m (-8%), segment statutory EBITDA A$14.2m (-30%, margin 9.3% vs 12.9%). GST, POCT and product fees of A$79.8m absorbed 47.7% of Australian net win — the CEO puts taxes and fees at ~50% of revenue.
- **Canada FY26: iGaming is the only growth engine.** Revenue A$34.6m (+13%), net win A$34.7m (+14%), with iGaming net win A$23.6m (+28%, now 68% of Canadian net win) while sports turnover collapsed 39% to A$161.5m on lower VIP play (sports net win -8% to A$11.1m, implied net margin ~6.9% vs ~4.6%). Ontario casino migrated to Bede Gaming on 28 Apr 2026; Alberta pre-registration opened Feb 2026 but the brand still has not launched (guided 'H2 CY2026').
- **No cost-transformation program; opex trimmed only at the margin.** FY26 9M opex A$105.2m (56.4% of revenue): S&M A$49.2m (26.4% of revenue, vs A$50.2m), employee A$32.7m, product & tech A$9.5m, admin A$13.8m. Marketing has been cut by exiting NRL club

sponsorships (Manly, Cronulla, 2025) and 'materially' reducing free-to-air TV, but no quantified savings target or timeline exists.

- **Capital position is thin and un-levered.** Cash was A$26.1m at 31 Dec 2025 (A$8.9m corporate cash) and ~A$23.0m at 31 Mar 2026 per third-party balance-sheet data [unverified]; the same source shows total liabilities (A$72.7m) exceeding total assets (A$55.2m), implying negative book equity after the 2024 capital return. No bank debt is disclosed; net debt/leverage is therefore not meaningful, but an H1 EBITDA loss of A$6–8m plus capex and Alberta launch costs implies material cash burn into a small balance sheet.
- **MIXI overhang cuts both ways.** MIXI's A$1.25 cash offer closed 12 Sep 2025 (66.43%; implied equity A$434m); at A$0.815 the equity is worth ~A$283m (-35%) with ~117m free-float shares (~A$95m). The group has been consolidated into MIXI since 1 Oct 2025, the board was reconstituted and the year-end moved to 31 March. A parent-funded balance sheet is a backstop; a low-ball mop-up of minorities is the risk.
- **Leadership and governance.** Andrew Catterall (ex-Australia CEO) became Group CEO on 1 Feb 2026; co-founder Sam Swanell remains an executive director/senior adviser. VIP account-manager remuneration has been restructured to remove commissions linked to customer losses; the 2026 AGM drew shareholder questions on VIP inducements following Senate-inquiry evidence.
- **Regulatory backdrop is tightening, and management says offshore is winning.** The federal gambling-advertising reform package passed parliament (Aug 2026) with implementation detail pending; the National Self-Exclusion Register (BetStop) is cited for racing-turnover softness. The CEO estimates illegal offshore operators at ~30% of the licensed domestic market and growing faster than licensed operators.
- **Strategic repositioning: 50/50 sport/racing, 'compliance above benchmark'.** PointsBet is deliberately moving turnover mix toward 50/50 sport/racing and operating compliance settings above industry norms, accepting the loss of high-staking three-code racing clients. It also bought racing/sports content business Foxcatcher (July 2026; terms not disclosed) as a content/acquisition play.
- **Event read-through.** The half contained the entire 2026 FIFA World Cup (June–July, widely reported as punter-friendly early on) plus AFL/NRL finals; PointsBet did not quantify World Cup revenue, handle or actives, and explicitly pinned the margin miss on AFL in Aug–Sep rather than the World Cup.
- **Share price: the damage was done pre-announcement.** Shares closed ~A$0.815 on 13 Oct (-0.6% on the day; intraday A$0.805) having already fallen ~9% from A$0.88 over the prior week; A$0.805 on 14 Oct sits near the A$0.755 52-week low (YTD -8%).
- **Thesis read-through.** The bull case (Canada iGaming compounding, MIXI backstop, Australian share gains in a shrinking market) is intact only on the first two legs; the Australian franchise is being deliberately shrunk at the top end while the replacement mass-market cohort is lower-margin and more tax-intensive. Until the VIP base annualises (from ~Q3 FY27) and Alberta goes live, group EBITDA is likely to stay negative and the equity story rests on MIXI's intentions rather than operating leverage.

2 GROUP FINANCIAL SUMMARY

A$M	H1 FY27E (APR–SEP 26, GUIDED)	PCP APR–SEP 25	YOY	FY26 9M (JUL 25–MAR 26)	FY26 9M YOY
REVENUE BY SEGMENT					
Australia	n/a (sole source of decline)	~112 [est.]	n/a	152.0	-4%
Canada	n/a	~23 [est.]	n/a	34.6	+13%
Group revenue	**~113**	**135**	**-16%**	**186.6**	**-1%**
NET WIN BY PRODUCT					
Sports & racing betting net win	n/a	n/a	n/a	178.4	-4%
iGaming net win (Canada only)	n/a	n/a	n/a	23.6	+28%
Total net win	n/a	n/a	n/a	202.0	-1%
Gross profit	n/a	n/a	n/a	93.6	-6%
Gross profit margin	n/a	n/a	n/a	50.2%	-280bp (53.0%)
Sales & marketing	n/a	n/a	n/a	49.2 (26.4% of rev)	-2%
Total opex	n/a	n/a	n/a	105.2 (56.4% of rev)	n/a
EBITDA					
Normalised EBITDA (non-IFRS)	**(6) to (8)**	**est. +5 to +12 [see note]**	**swing est. -11 to -20**	**(0.8)**	**vs +1.2**
Normalised EBITDA margin	-5% to -7%	n/a	n/a	-0.4%	vs +0.6%
Australia statutory segment EBITDA	n/a	n/a	n/a	14.2 (9.3% margin)	-30%
Statutory EBITDA (group)	n/a	n/a	n/a	(11.7)	n/a
Statutory net loss (IFRS)	n/a	n/a	n/a	(26.6)	vs (18.2) FY25 12M
Basic/diluted LPS (IFRS)	n/a	n/a	n/a	(7.7c)	vs (5.5c) FY25 12M
Adjusted EPS	not reported			not reported	
KPIS & BALANCE SHEET					
Cash-active clients (R12M)	n/a	n/a	n/a	298.1k	+1% (AU -1%, CA +9%)
Cash & equivalents (period end)	n/a	n/a	n/a	~23.0 [unverified aggregator]; 26.1 at 31 Dec 25	n/a
Net debt / leverage	no borrowings disclosed			no borrowings disclosed; book equity negative per aggregator [unverified]	
Operating / free cash flow	n/a	n/a	n/a	n/a	n/a

H1 FY27 pcp EBITDA: media cite -A$3.3m 'H1 FY26', which is the Jul–Dec 2025 half on the old June year-end. Like-for-like Apr–Sep 2025 = Q4 FY25 (+A$10.0m, derived: FY25 A$11.2m less 9M-to-Mar-25 A$1.2m) plus undisclosed Q1 FY26. Segment pcp revenue split is our estimate from reported period totals.

3 SEGMENT DEEP-DIVE — AUSTRALIA (AUSTRALIAN TRADING)

> **Compliance-led VIP shrinkage plus a promo-heavy mass-market pivot have turned a -4% FY26 revenue decline into a double-digit H1 FY27 fall; the tax/fee take at ~48% of net win leaves no cushion.**

H1 FY27 DOWNGRADE

Australia is ~82% of group revenue and the sole source of the H1 FY27 downgrade, implicitly down high-teens to low-20s percent.

- Trading update gives no Australian revenue number; group revenue guided to ~A$113m against a A$135m pcp, with Canada excluded from the explanation.
- Pcp Australian revenue ~A$112m if Canada ran at ~A$23m in Apr–Sep 2025, both estimates from reported period totals.
- Management framed the decline as 'a continuation of two key themes identified at our FY26 AGM': stronger compliance standards and a deliberate mass-market pivot.
- Compliance produced 'a sustained trend of double-digit turnover and revenue declines vs PCP throughout H1 from our highest value client cohort'.
- We read the compliance theme as structural and the mass-market pivot as a mix of structural (lower-margin cohort, higher product-fee incidence) and one-off (AFL luck).

> *"a deliberate choice to accelerate growth in mass market sports actives, which can lead to short term volatility in Net Win margins"* — **Management**

VIP COMPLIANCE SHRINKAGE

The VIP decline is compliance-led and structural; it will not mean-revert and annualises from roughly the March 2027 quarter.

- FY26 annual report attributed racing-turnover softness to compliance settings 'above industry benchmarks' and the National Self-Exclusion Register.
- High-staking, high-volume clients with the most at-risk behaviours are concentrated in three-code racing.
- At the August AGM the CEO said highest-value-cohort turnover and gross profit were down only 1–2% across FY26 but double-digit negative in the final months.
- VIP account-manager and external BDM remuneration restructured to prioritise compliance and remove direct commissions on customer losses.
- Right posture for a licensee facing a Senate inquiry into inducements.

> *"regardless of revenue impact"* — **CEO**

MASS-MARKET PIVOT

Volume growth is not converting: FY26 net win fell 4% to A$167.3m and H1 FY27 net-win margin ran below structural all half.

- FY26 (9M) sports and racing turnover A$1,690.7m (-1%); gross-win margin held at 13.3% despite customer-friendly Spring Racing Carnival results.
- Net-win margin slipped 20bp to 9.9%; gap between gross and net margin widened to ~340bp.
- Jul–Dec 2025 half: turnover A$1.19bn (+4%), gross win A$156.1m (~13.1% margin), revenue -1% to A$115.1m, gross profit -6% to A$52.3m.
- H1 FY27: mass-market sports actives, turnover and structural net-win margin improved vs PCP, but 'adverse results for key sports in August and September — primarily AFL'.
- No handle, net-margin or promo-as-%-of-handle figures provided; the 30 October accounts are needed to size luck versus structural.

PULL 'EM AND FEE LEAKAGE

Pull 'Em lifts turnover but leaks margin twice; with tax/fees at 47.7% of net win, each mass-market dollar yields less gross profit than the VIP dollar it replaces.

- Launched March 2026, then available on every AFL game and the FIFA World Cup to recruit mass-market actives and grow Premium Bet Types such as Same Game Multis.
- CEO acknowledged at the AGM it lifted sports turnover but weakened net-win and gross-profit margins via higher promotional cost and higher AFL product-fee rates.
- GST, POCT and product fees were A$79.8m or 47.7% of FY26 Australian net win; the CEO rounds it to ~50% of revenue.
- Australian gross profit fell 8% to A$77.0m in FY26 (50.7% of revenue); segment statutory EBITDA fell 30% to A$14.2m (9.3% margin vs 12.9%).
- H1 FY27 will almost certainly show a further step down.

CUSTOMERS, MARKETING, REGULATION

A flat active base against -4% net win implies falling spend per active; advertising reform is the swing factor and will be 'more complicated and more expensive'.

- FY26 group cash-active clients rose 1% to 298.1k with Australia down ~1%; ARPU not disclosed.
- NRL club sponsorships (Manly, Cronulla) voluntarily ended in 2025 and free-to-air TV 'materially' cut; stated ambition is a 50/50 sport/racing turnover split.
- July 2026 Foxcatcher acquisition (racing/sports content and a small wagering book; terms undisclosed) is a content-led acquisition channel rather than consolidation.
- Federal advertising reform package has passed but definitions are pending.
- Illegal offshore operators, estimated at ~30% of the licensed market and growing faster, pay no tax.

> *"more complicated and more expensive"* — **Management**

OUTLOOK AND WATCH ITEMS

No Australian segment guidance; we expect a smaller YoY decline in Oct–Mar but segment EBITDA well below the FY26 run-rate.

- Oct–Mar half (Spring Racing Carnival, summer cricket, NRL/AFL off-season) should see AFL luck normalise but a continued double-digit VIP drag.
- From the 30 October release we want Australian net-win margin versus structural margin and the mass-market actives number.
- Also wanted: promotional spend as a percentage of handle and whether the VIP decline is stabilising month-on-month.

AUSTRALIA, A$M	H1 FY27E (APR–SEP 26)	FY26 9M (JUL 25–MAR 26)	9M YOY	JUL–DEC 25 HALF (OLD H1 FY26)	JUL–DEC YOY
Turnover / handle	n/a (mass-market up; VIP double-digit down)	1,690.7	-1%	1,190	+4%
Gross win	n/a	224.3	-2%	156.1	n/a
Gross-win margin	n/a	13.3%	flat	~13.1% [derived]	n/a
Net win	n/a	167.3	-4%	n/a	n/a
Net-win margin (actual)	below structural all half (AFL Aug–Sep)	9.9%	-20bp	n/a	n/a
Structural net-win margin	up vs PCP (not quantified)	n/a	n/a	n/a	n/a
Revenue	**n/a (sole source of -16% group decline)**	**152.0**	**-4%**	**115.1**	**-1%**
GST, POCT & product fees	n/a	79.8 (47.7% of net win)	n/a	n/a	n/a
Gross profit	n/a	77.0 (50.7% of rev)	-8%	52.3	-6%
Statutory segment EBITDA	**n/a**	**14.2 (9.3% margin)**	**-30%**	**n/a**	**n/a**
Cash-active clients	mass-market actives up (not quantified)	n/a (AU -1%)	-1%	n/a	n/a
Highest-value cohort turnover & revenue	double-digit % decline vs PCP, all half	-1% to -2% (FY26, per CEO)	n/a	n/a	n/a
Promo % of handle / ARPU	not disclosed	not disclosed		not disclosed	

4 SEGMENT DEEP-DIVE — CANADA (CANADIAN TRADING — ONTARIO; ALBERTA PENDING)

iGaming carries Canada (+28% net win, 68% of segment) while sports handle has been deliberately shrunk; a growth leg, but at ~18% of group it cannot offset Australia, and Alberta is still not live.

IGAMING-LED GROWTH

Canada grew in FY26 with iGaming net win up 28% to A$23.6m, now 68% of the segment, but at ~18% of group cannot offset Australia.

- Canada was not blamed for the H1 FY27 shortfall; annual report cited 'strong iGaming momentum and a recovery in margins across both Sports Betting and iGaming'. We assume growth in the half; no number given.
- FY26 (9M) revenue rose 13% to A$34.6m and total net win 14% to A$34.7m, on higher turnover and better margins in core game categories, particularly slots.
- Jul–Dec 2025 half: revenue A$24.4m (+35%), iGaming net win A$17.2m (+58%), gross profit A$11.8m (+30%), implying Jan–Mar 2026 revenue of roughly A$10m.
- Canadian cash actives grew 9% in FY26 against a 1% decline in Australia, so group active-base growth is essentially a Canadian story.

ONTARIO SPORTS BETTING

Sports handle has been deliberately shrunk; FY26 turnover fell 39% to A$161.5m but net win fell only 8% to A$11.1m as margin improved.

- Jul–Dec 2025 sports turnover A$109.2m (-35%), attributed to lower VIP play and higher gross-win margins that reduce reinvestment.
- Implied net margin rose to ~6.9% from ~4.6% (our derivation); Jul–Dec gross hold was 10.2% on A$11.2m of gross win.
- Same playbook as Australia, but executed against a growing iGaming base rather than a shrinking one, so segment economics are improving.
- Market share not disclosed; PointsBet is a sub-scale Ontario operator behind the North American majors with no iGaming-share figure to quote.

PLATFORM AND ALBERTA

Alberta is the delayed catalyst: not live on day one, with roughly ten weeks left to meet 'the second half of calendar year 2026' guidance.

- Ontario casino migrated to Bede Gaming on 28 April 2026, which management says unlocks enhanced promotional capability.
- Data-feed costs were called out as a gross-margin headwind in the Jul–Dec half.
- Alberta pre-registration opened February 2026; PointsBet is in the AGLC registration process.
- Launch costs land in H2 FY27 regardless, so Canada's EBITDA contribution, not separately disclosed, is unlikely to improve materially until FY28.

OUTLOOK AND WATCH ITEMS

No segment guidance; we expect mid-teens FY27 revenue growth driven by iGaming with the segment broadly EBITDA-neutral to modestly positive pre-Alberta marketing.

- Sports expected flat-to-down on the VIP strategy.
- On 30 October we want H1 FY27 Canadian revenue and iGaming net win, and Alberta timing with a date rather than a half.
- Also whether Ontario iGaming actives and ARPU are still compounding post-migration.

CANADA, A$M	H1 FY27E (APR–SEP 26)	FY26 9M (JUL 25–MAR 26)	9M YOY	JUL–DEC 25 HALF (OLD H1 FY26)	JUL–DEC YOY
Sports turnover / handle	n/a	161.5	-39%	109.2	-35%
Sports gross win / hold	n/a	n/a	n/a	11.2 / 10.2%	n/a
Sports net win	n/a	11.1	-8%	n/a	n/a
Sports net-win margin	n/a	~6.9% [derived]	+~230bp vs ~4.6% [derived]	n/a	n/a
iGaming net win	n/a	23.6	+28%	17.2	+58%
Total net win	n/a	34.7	+14%	n/a	n/a
Revenue	**n/a (not cited in decline)**	**34.6 (18.5% of group)**	**+13%**	**24.4**	**+35%**
Gross profit	n/a	n/a	n/a	11.8	+30%
Segment EBITDA	n/a	not disclosed		not disclosed	
Cash-active clients	n/a	n/a	+9%	n/a	n/a
Alberta status	pre-reg open; not live	guided live H2 CY26		pre-reg Feb 26	

5 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Canada iGaming compounding: FY26 net win +28% to A$23.6m (Jul–Dec half +58%), segment revenue +13%, actives +9%, and the Bede Gaming platform migration completed 28 Apr 2026 — the one line of the P&L with visible operating leverage. structural
- Mass-market KPIs moving the right way: management reports consistent gains in mass-market sports actives, turnover and structural net-win margin vs PCP through H1 FY27; the miss is in actual vs structural margin, part of which (AFL Aug–Sep) should mean-revert. mixed
- Compliance posture is defensible: deliberately operating above industry benchmark, restructured VIP remuneration (no loss-linked commissions), early exit from NRL sponsorships and FTA TV — lowers regulatory tail risk as the federal ad-reform package is implemented. structural
- Ontario sports net margin re-based higher (~6.9% vs ~4.6% derived) as low-quality VIP handle was shed; net win fell only 8% on a 39% handle decline — evidence the 'quality over volume' strategy can work where there is a growing core to lean on. structural
- Pre-announcement reduces 30 Oct event risk and the stock had already de-rated (~-9% in the prior week); MIXI's 66% ownership provides a funding backstop that a standalone A$23m-cash operator would not have. one-off
- No debt; opex already trimmed (FY26 9M marketing A$49.2m vs A$50.2m, other opex A$45.2m vs A$48.6m) — cost base is not bloated, so the fix is revenue mix rather than restructuring. mixed

▼ LOWLIGHTS

- Revenue -16% YoY to ~A$113m with the decline entirely Australian; derived quarterly run-rate (~A$56.5m) is below every quarter since at least Q3 FY25 and extends a deterioration already visible in Jan–Mar 2026 (-10.5% YoY est.). structural
- Normalised EBITDA loss of A$6–8m: the widely quoted -A$3.3m comparator is the Jul–Dec 2025 half; the like-for-like Apr–Sep 2025 period was likely profitable (Q4 FY25 +A$10.0m derived), so the true swing is A$11–20m on our arithmetic. structural
- VIP cohort turnover/revenue down double digits for the entire half and not annualising until ~Q4 FY27; management has told the market it will not chase this revenue back. structural
- Pull 'Em / Premium Bet Type push dilutes margin twice — higher promotional cost between gross and net win, higher AFL product fees between net win and gross profit — on a base where taxes and fees already take ~48% of net win. structural
- Adverse AFL results in Aug–Sep drove actual net-win margin below structural all half; unquantified, which makes it impossible to separate luck from mix until 30 Oct. one-off
- Alberta still not launched despite Feb 2026 pre-registration and 'H2 CY2026' guidance; Canada at ~18% of group cannot offset Australia even on a good day. watch
- Thin balance sheet and governance overhang: ~A$23m cash [unverified], book equity negative per aggregator data, 66% parent with a reconstituted board, equity 35% below the A$1.25 takeover price — minority holders are exposed to both dilution and a low-priced squeeze-out. governance

6 FORECAST & OUTLOOK

Guidance bridge. There was no formal numeric guidance to revise: PointsBet has not issued FY27 revenue or EBITDA guidance under MIXI ownership, and the 'old' reference point is the August 2026 AGM narrative (highest-value cohort down 1–2% across FY26 but double-digit negative in the final months; mass-market growth; Pull 'Em margin drag) plus a FY26 exit run-rate of roughly A$57m revenue per quarter and normalised EBITDA around breakeven. The 'new' is quantified for the first time: H1 FY27 revenue ~A$113m (-16% YoY vs A$135m) and normalised EBITDA -A$6m to -A$8m. Every dollar of the downgrade is Australia — compliance-driven VIP attrition (double-digit turnover/revenue declines all half) and a mass-market push whose structural-margin gains were eroded by punter-friendly AFL results in August–September and Pull 'Em promotional/product-fee costs. Canada is not cited and is assumed to have grown.

GROUP REVENUE: PCP APR–SEP 25 → H1 FY27E	AUSTRALIA HIGHEST-VALUE COHORT	AUSTRALIA MASS-MARKET SPORTS	NORMALISED EBITDA
A$135m → ~A$113m	**double-digit turnover & revenue decline vs PCP**	**actives, turnover, structural NWM all up**	**-A$6m to -A$8m (-5% to -7% margin)**
-A$22m / -16%; 100% Australia; Canada not cited	compliance-driven; persisted all half; structural	offset by actual NWM below structural (AFL Aug–Sep) + Pull 'Em promo & product-fee dilution	vs -A$3.3m Jul–Dec 25 half (not l-f-l); vs est. +A$5–12m l-f-l pcp

Independent view. Our independent take: **H2 FY27 (Oct 2026–Mar 2027) revenue of A$108–115m (-8% to -13% YoY vs a derived A$124.6m pcp)**, assuming the VIP drag persists at double digits through the Spring Racing Carnival, AFL/NRL off-season removes the luck swing, and Canada grows mid-teens. That puts **FY27 revenue at ~A$221–228m, roughly -12% to -15% against a derived pro-forma 12-month-to-March-2026 base of ~A$259.6m** (Q4 FY25 A$73.0m + FY26 9M A$186.6m). On margin, we model **H2 normalised EBITDA between -A$2m and +A$3m** — AFL mean-reversion and lower marketing help, but Alberta launch costs and continued product-fee inflation on Premium Bet Types cap the recovery — giving **FY27 normalised EBITDA of roughly -A$5m to -A$10m** against -A$0.8m for the 9-month FY26. Gross-profit margin should drift below 50% (FY26: 50.2%) as mix shifts toward higher-fee multis and Canadian iGaming. **Leverage direction: the group is un-levered but cash-consumptive** — an H1 EBITDA loss of A$6–8m plus capex and working capital against ~A$23m of cash [unverified] implies year-end cash well below A$15m absent parent support; we would not be surprised by an intercompany facility from MIXI before FY27 year-end, and we flag that negative book equity (per aggregator data) makes a formal recapitalisation or minority buy-out a live scenario. Swing factors: the H2 luck line (Spring Carnival, NFL/NBA for Canada), the month-on-month trajectory of VIP turnover (whether it has bottomed or is still falling), implementation detail of the federal advertising reforms, and Alberta go-live timing. All figures above are our estimates, not company guidance.

What to watch next quarter:

- 30 Oct 2026 full H1 FY27 accounts: Australian net-win margin vs structural margin, mass-market actives, promo spend as % of handle, Canadian revenue/iGaming net win, and period-end cash — the first hard test of how much of the miss is luck.
- VIP cohort trajectory: management's commentary on whether highest-value turnover is stabilising month-on-month; the comp annualises from ~Q4 FY27.
- Alberta launch date (guided H2 CY2026, not yet live) and the associated marketing/launch cost in H2 FY27.
- MIXI's posture: any intercompany funding, change in board composition, or move to acquire the ~33.6% minority at a discount to the A$1.25 offer price.
- Regulatory implementation: definitions under the federal gambling-advertising reform package, further NSER/BetStop effects on racing turnover, any state POCT or product-fee increases on Premium Bet Types.
- Any formal FY27 guidance or restatement of the 50/50 sport/racing mix target and marketing-spend envelope at the H1 release.

DATA CONFIDENCE: MEDIUM Headline H1 FY27 figures (~A$113m revenue, -16%, A$135m pcp, normalised EBITDA loss A$6–8m, period 1 Apr–30 Sep 2026, results due 30 Oct) are consistent across seven independent secondary reports of the 13 Oct ASX announcement (TipRanks, Business News Australia, The Straight, SBC, Casino.org, NEXT.io, Focus GN); the ASX PDF itself could not be opened within tool limits, so direct quotations are as relayed by those outlets. FY26 (9M) figures are drawn from the ASX-lodged Annual Report 2026 (primary, via indexed text) and corroborated by NEXT.io, Yogonet, Casino.org and Intergame. Unverified/estimated items are flagged inline: (1) the Apr–Sep 2025 like-for-like EBITDA pcp (derived; Q1 FY26 standalone not disclosed); (2) quarterly revenue series and the Australia/Canada pcp split (derived from period totals); (3) 31 Mar 2026 cash (~A$23.0m), total assets/liabilities and negative book equity (Kalkine Media aggregator, not checked against the audited balance sheet); (4) the A$19.2m FY26 loss cited by Yogonet vs A$26.6m statutory loss carried in the annual report commentary; (5) Canadian sports net-margin derivation; (6) share-price moves taken from Yahoo Finance AU / Stockanalysis delayed feeds. No segment-level H1 FY27 data, handle, promo %, ARPU or market-share figures have been disclosed yet.

Sources: [Primary] PointsBet Holdings — Annual Report 2026 (9 months to 31 Mar 2026), ASX lodgement 23 Jun 2026 [PRIMARY]; [Primary] PointsBet Holdings — Annual Report 2025 (FY to 30 Jun 2025), ASX lodgement 26 Sep 2025 [PRIMARY; MIXI offer A$1.25, FY25 base]; [Primary] PointsBet Holdings — Appendix 4D / Interim Report, half-year to 31 Dec 2024 [PRIMARY; HY25 normalised EBITDA -A$3.3m, revenue A$124.4m]; [Primary] PointsBet investor site — Company Announcements (13 Oct 2026 trading update lodged here; PDF not retrievable within tool limits) [PRIMARY]; [Secondary] NEXT.io — 'PointsBet projects H1 revenue dip driven by VIP compliance measures' (13 Oct 2026) [user-supplied; secondary]; [Secondary] TipRanks — ASX announcement summary 'PointsBet Flags Revenue Drop and EBITDA Loss Amid Compliance Shift' (13 Oct 2026); [Secondary] Business News Australia — 'PointsBet suffers revenue slide and up to $8m loss…' (13 Oct 2026; period definition, AGM quotes, Pull 'Em); [Secondary] The Straight — 'PointsBet suffers revenue hit driven by Australian business' (13 Oct 2026; verbatim update language, share price); [Secondary] SBC News — 'PointsBet predicts 16% decline in H1 revenues' (14 Oct 2026; Alberta status); [Secondary] Casino.org — 'PointsBet Revenue Set to Fall as VIP Restrictions Hit Australian Business' (Oct 2026); [Secondary] Focus Gaming News — 'PointsBet forecasts US$15.4m revenue decline in first half FY27' (13 Oct 2026); [Secondary] NEXT.io — 'FY26: PointsBet revenue slips after MIXI takeover' (15 May 2026; FY26 segment detail, opex); [Secondary] Yogonet — 'PointsBet slips to $19.2 million loss…' (18 May 2026; FY26 detail — loss figure unreconciled); [Secondary] Casino.org — 'Canadian iGaming Segment Boosts PointsBet's Financial Performance' (May 2026; actives 298.1k, opex); [Secondary] Intergame — 'PointsBet performance slips in Australia' (May 2026; FY26 net win by segment); [Secondary] iGaming Business — 'Revenue up at PointsBet in H1 as Canada iGaming offsets sports betting dip' (Feb 2026; Jul–Dec 2025 half); [Secondary] Quartr — PointsBet H1 2026 (Jul–Dec 2025) earnings summary (cash A$26.1m, net loss A$22.2m); [Secondary] Covers.com — 'Revenue Growth in Ontario Drives PointsBet's First Half' (26 Feb 2026; Canada handle/hold); [Secondary] The Straight — 'PointsBet adds to calls warning gambling reforms could strengthen offshore operators' (25 Aug 2026 AGM); [Secondary] Yogonet — 'PointsBet urges payment curbs and faster takedowns…' (25 Aug 2026 AGM; offshore ~30%, taxes ~50% of revenue); [Secondary] The Mayne Report — '5 questions lodged at 2026 Pointsbet (PBH) virtual AGM' (25 Aug 2026); [Secondary] The Straight — 'Foxcatcher to live on after Pointsbet acquisition' (Jul 2026); [Secondary] Medianet — 'PointsBet Reports Record FY25 Results…' (Aug 2025; FY25 A$261.4m / A$11.2m); [Secondary] Yahoo Finance — PBH.AX quote (14 Oct 2026 price, prior close); [Secondary] Stockanalysis — ASX:PBH overview (12 Oct 2026 close, shares outstanding 347.59m); [Secondary] Kalkine Media — ASX:PBH key statistics (cash A$22.99m, assets/liabilities — aggregator, unverified).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.